Note 7—Taxes on Income

Taxes on income consist of the following:

	Year Ended December 31,		
	2004	2003	2002
Current:			
Federal	$ —	$ 626	$ 533
State	—	7	7
Foreign	7,371	6,453	6,914
	7,371	7,086	7,454
Deferred:			
Federal	(1,881)	626	(904)
Foreign	9	(224)	1,232
Total	$ 5,499	$7,488	$7,782

The components of earnings before income taxes were as follows:

	2004	2003	2002
Domestic	$ (7,242)	$ (1,483)	$ (1,401)
Foreign	24,699	25,601	25,719
Total	$17,457	$24,118	$24,318

Domestic earnings before income taxes do not include foreign earnings that are included in U.S. taxable income.

Total deferred tax assets and liabilities are composed of the following at December 31:

	2004		2003	
	Current	Non-current	Current	Non-current
Retirement benefits	$1,331	$ 6,092	$ 814	$ 5,531
Allowance for doubtful accounts	1,237	—	1,490	—
Insurance and litigation reserves	658	—	600	—
Postretirement benefits	—	2,947	—	2,987
Supplemental retirement benefits	—	1,252	—	1,146
Performance incentives	611	1,130	677	905
Alternative minimum tax carryforward	—	2,092	—	2,092
Restructuring charges	245	—	406	—
Vacation pay	291	—	291	—
Goodwill	—	—	—	—
Operating loss carryforward	—	4,856	—	2,670
Deferred compensation	—	921	—	751
Other	—	94	—	5
	4,373	19,384	4,278	16,087
Valuation allowance	—	(559)	—	(539)
Total deferred income tax assets, net	$4,373	$18,825	$4,278	$15,548
Depreciation		$ 2,207		$ 2,464
Europe pension and other		3,381		2,344
Total deferred income tax liabilities, net		$ 5,588		$ 4,808

Table of Contents

QUAKER CHEMICAL CORPORATION

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS—(Continued)

(Dollars in thousands except per share amounts)

The following is a reconciliation of income taxes at the Federal statutory rate with income taxes recorded by the Company for the years ended December 31:

	2004	2003	2002
Income tax provision at the Federal statutory tax rate	$6,110	$ 8,441	$ 8,511
State income tax provisions, net	—	5	5
Non-deductible entertainment and business meal expense	176	179	160
Foreign taxes on earnings at rates different from the Federal statutory rate	(719)	(1,504)	(1,126)
Miscellaneous items, net	(68)	367	232
Taxes on income	$5,499	$ 7,488	$ 7,782

At December 31, 2004, the Company domestically had a net deferred tax asset of $14,211 inclusive of domestic tax losses for which no valuation allowance was taken and alternative minimum tax (AMT) credits of $2,092. The domestic tax loss carryforwards of $8,156 expire after 2024. Additionally the Company has foreign tax credit (FTC) carryovers of $3,298 which have the following expiration dates: $2,050 in 2011, $485 in 2012 and $763 in 2013. A full valuation allowance has been taken against these foreign tax

credits. Finally, the Company has foreign tax loss carryforwards of $5,783 which have no expiration dates. A partial valuation allowance has been established with respect to the tax benefit of these losses for $559.

U.S. income taxes have not been provided on the undistributed earnings of non-U.S. subsidiaries since it is the Company's intention to continue to reinvest these earnings in those subsidiaries for working capital and expansion needs. U.S. and foreign income taxes that would be payable if such earnings were distributed may be lower than the amount computed at the U.S. statutory rate due to the availability of tax credits. The amount of such undistributed earnings at December 31, 2004 was approximately $124,000. Any income tax liability which might result from ultimate remittance of these earnings is expected to be substantially offset by foreign tax credits.